US Mattress Import Playbook

Study guide for the Puffy Senior Manager, Procurement & Commercials assessment and case study. Written 2 October 2026. Rules and tariffs moved a lot in 2026, so learn the method first and confirm every rate before you quote it.

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> **Read this first.** Adaface tests skills with generic and scenario questions. It cannot ask for Puffy's internal budget, SKU list, buffer volumes or approval limits, because no candidate could know them. The case study will give you data. Your job is to show method, state assumptions and name the risks.

1 REVIEW OF YOUR 26 POINTS

YOUR POINTS	VERDICT	WHAT TO DO
5 (due diligence, duties, documents, payment terms, Incoterms)	KEEP, EXPAND	Add Incoterms 2020 behaviour, customs value rule, importer of record, bond, ISF, commercial invoice, packing list, bill of lading, certificate of origin.
6 (benefits under US law, rebates, World Bank sanctions and immunities)	REWRITE	"Immunities" do not apply to a private importer. Replace with: duty drawback, foreign trade zones and bonded warehouses, first-sale valuation, tariff exclusions, FTA origin claims, and the tariff refund process. Add compliance risks: OFAC sanctions screening, forced-labor law (UFLPA), debarment lists including the World Bank list.
7 (best ports)	KEEP	Frame as a method: pick the origin port by supplier cluster and the US port by where the distribution centers are. Do not claim one best port without data.
9 (payment channels)	KEEP	Add typical terms: 30% deposit and 70% against bill of lading copy, letter of credit, net 30 to 60 for domestic, wire timing, FX exposure, trade credit insurance.

10, 16 (scorecards, order splitting, annual rebate tiers)	KEEP	Good. Add on-time-in-full, defect rate in parts per million, and tiered retrospective rebates with take-or-pay risk (example 6).
20, 25 (compliance and certificates)	KEEP, SPECIFY	Name them: 16 CFR 1632 and 1633, general certificate of conformity, CertiPUR-US, OEKO-TEX, Prop 65, law label, FTC Made in USA rule, country of origin marking.
21 (B2B, e-commerce, retail impact)	REFRAME	Link to procurement: DTC needs fast replenishment and packaging for shipping, wholesale needs retailer-specific labels and larger pallets, and returns under a 365-night trial add reverse-logistics cost to the margin.
22 (third-party facilitation, "banks")	CLARIFY	List: licensed customs broker, freight forwarder, 3PL, inspection firm, sourcing agent, trade-finance bank, customs bond surety, trade credit insurer.
23 (data subscriptions)	TRIM, ADD	Most useful for mattresses: ICIS or Platts for chemical inputs (polyol, TDI), Panjiva or ImportGenius for US shipment records, Drewry or Freightos for freight rates. Drop Business Insider (news, not data). Add free official sources: HTS search, USITC DataWeb, Commerce AD/CVD pages, CPSC, CBP notices.
24, 26 (suppliers, raw materials, packaging)	KEEP	Organise by component: foam (polyol, TDI), springs (wire), latex, wool, covers and knit fabrics, fire barrier, adhesives, zippers, packaging film, cartons, pallets. Note TDI ships as dangerous goods (class 6.1); finished mattresses usually do not.
Missing entirely	ADD	Tariff and AD/CVD logic, Incoterms, landed cost, total cost of ownership, Kraljic matrix, make-or-buy, RFQ steps, contract clauses (price adjustment, force majeure, IP, warranty, audit rights), negotiation (BATNA), working capital, savings definitions (cost reduction vs cost avoidance), commercial metrics (gross margin, contribution margin per mattress), AI in procurement, Excel basics.

Fixes to your formula page

- Safety stock line mixes two methods. Label them: statistical $z \times \sigma \times \sqrt{LT}$ and rule of thumb (lead time days + 25 to 30 days demand + buffer days). Reorder point = demand during lead time + safety stock.
- US customs value is the transaction price, which excludes international freight and insurance. Duty on an FOB quote is on the FOB price. On a CIF quote, subtract freight and insurance first.
- Delete the stray "27." and keep the example numbers marked as assumptions.
- Container numbers to add are in section 6.

2 THE US COST LAYERS ON AN IMPORTED MATTRESS

Order of thinking: classify, find country of origin, stack duties, add fees, then compare with the domestic option. Confidence labels show what I verified against sources and what you must confirm on the official tariff page before an exam answer or a real quote.

LAYER	WHAT TO KNOW	CONFIDENCE
Base duty (HTS 9404)	9404.21 cellular plastic or rubber mattresses 3%; 9404.29.90 other mattresses 6%; 9404.10 mattress supports free. Springs and wood frames classify elsewhere.	Secondary source. Confirm on the USITC HTS search.
Section 301, China	Extra 7.5% shown on the 9404 lines for Chinese origin.	Secondary source. Confirm.
IEEPA tariffs	The Supreme Court held IEEPA does not authorize tariffs. Importers claim refunds as importer of record through CBP's CAPE portal.	Confirmed by law-firm reports.
Section 122 surcharge	A 10% duty on all imports was ruled invalid by the Court of International Trade on 7 May 2026. Check for appeal status.	Confirmed as of July 2026.
Section 232	Steel, aluminum and copper duties expanded in April 2026 and apply to the full value of derivative products. A new investigation covers timber and lumber.	Confirmed for the metals; relevance to your SKUs is unchecked.

	Check whether coil wire, metal foundations or wood frames are caught.	
Antidumping and countervailing duties	Orders cover mattresses from Cambodia, Indonesia, Malaysia, Serbia, Thailand, Turkey and Vietnam, and an earlier order covers China. Rates differ by exporter and can be very high. Cash deposits are paid at entry and can be adjusted later. Check scope for foam, innerspring and hybrid products.	Country list confirmed; China order and rates must be checked at Commerce.
Merchandise processing fee	`0.3464%` of value, with a minimum and maximum per entry that change each year.	Known rule; confirm current limits.
Harbor maintenance fee	`0.125%` of value on ocean cargo.	Known rule.
Process steps	Importer of record, continuous customs bond, importer security filing 24 hours before loading, entry filed through a licensed broker, origin marking on goods and packaging.	Standard practice.

The big lesson. Moving supply from a high-tariff country to a lower-tariff one is not free. An antidumping order on the new country, transshipment rules and a longer qualification time can cancel the saving. Always run the full stack for each origin.

Brand claim risk. Puffy markets its mattresses as made in the USA with US materials. Imported components can change what the brand may say under the FTC's Made in USA rule ("all or virtually all"). A senior procurement manager clears sourcing changes with legal and marketing first. A mention of this in a text answer shows maturity.

3 FROM NDA TO PILOT BATCH, US PRACTICE

NDA

- Mutual, signed before sharing specs, roadmaps or drawings.
- Defines confidential information, permitted use, term (commonly 2 to 5 years, longer for trade secrets) and return or destruction.

Qualification gates

- Screen the supplier: business license, ownership, sanctions and forced-labor risk, financial health, certifications.
- Technical review: samples against specification, lab tests, flammability and chemical compliance.

- US governing law and venue where possible; arbitration clause for overseas suppliers.
- Add an IP clause: tooling and custom specs belong to Puffy; non-circumvention for sourcing agents.

- Audit the factory on site or through an inspection firm.
- Commercial: quote, MOQ, tooling cost, lead time, payment terms, Incoterm.

Pilot batch

- Approve a golden sample first; it becomes the reference.
- Small run (for example one container or 2 to 4 weeks of demand), with in-process and pre-shipment inspection to an agreed sampling plan.
- Written pass criteria before shipping: dimensions, density and firmness, appearance, packaging, documents.
- Land it, test it, measure customer returns, then scale in steps with a fallback source.

Compliance file for each mattress

- Open-flame test per 16 CFR 1633 (peak heat release at most 200 kW, total at most 15 MJ in 10 minutes) and cigarette test per 1632.
- Certificate and test records kept and available to regulators.
- Law label, chemical declarations, origin marking, Prop 65 review.

4 SOLVED EXAMPLES

All prices, volumes and rates here are teaching assumptions. In the exam, use the numbers given and say which assumptions you added.

Example 1. Import quote vs domestic quote

Landed cost + carrying cost

A queen pocketed-coil unit. Supplier A (Asia): FOB `$38.00`, ocean freight `$3.20`, insurance `$0.19`, brokerage and drayage `$1.60`, 60 extra days of pipeline stock. Supplier B (US): `$47.50` delivered, 7 days. Cost of capital 12%.

LINE	A FROM CHINA	A FROM A NON-CHINA ORIGIN
FOB	38.00	38.00
Freight + insurance	3.39	3.39
Duty on FOB value	5.13 (13.5%)	2.28 (6%)
MPF + HMF	0.18	0.18
Brokerage and drayage	1.60	1.60

Landed cost	**48.30**	**45.45**
Carrying cost (60 days at 12%)	0.95	0.90
True cost	**49.25**	**46.35**

Answer. The headline FOB is 20% below the domestic price, yet the Chinese route ends up about 3.7% more expensive than domestic ($49.25 vs $47.50). The non-China route is about 2.4% cheaper ($46.35), but only if no antidumping order applies and the supplier passes qualification. Recommendation: dual-source, a domestic base volume plus an import share, with a trigger to review when duty rates or freight move by a set percentage.

Example 2. Safety stock and reorder point

Import lead time vs domestic

Average demand 120 units a day, standard deviation 30 a day, 95% service (z = 1.65).

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Import, 45 days: SS = 1.65 × 30 × √45 = 332; ROP = 120 × 45 + 332 = 5,732
Domestic, 7 days: SS = 1.65 × 30 × √7 = 131; ROP = 120 × 7 + 131 = 971
```

Answer. The longer lead time needs about 2.5 times the safety stock and almost 6 times the reorder point. That extra stock is the hidden cost behind example 1. If lead time itself varies, add that variation to the formula or hold extra buffer days.

Example 3. Order size and containers

EOQ

Annual demand 43,800 units, unit cost $45, holding cost 20% a year ($9), cost per order $400.

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EOQ = √(2 × 43,800 × 400 ÷ 9) = 1,973 units
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Answer. Round to full container loads. If one 40-foot high cube holds about 1,000 units, order 2 containers, about 2,000 units. Check against MOQ, supplier capacity and cash.

Example 4. Supplier misses delivery before a launch

Cost of delay vs cost to expedite

Shipment is 3 weeks late. Stock covers 10 days. Demand 120 a day, contribution margin $350 per mattress, air freight $4.50 extra per unit.

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Shortfall = (21 − 10) days × 120 = 1,320 units Lost margin if sales are lost =
1,320 × $350 = $462,000 Air freight on the shortfall = 1,320 × $4.50 = $5,940
```

Answer. Expedite only the shortfall. Confirm the facts first, then quantify, then list options: partial air freight, a domestic spot buy, shifting stock between SKUs, moving promotions. Afterward, claim agreed late-delivery penalties, run a root-cause review with the supplier,

and add a second source for that part. In a multiple-choice question, pick the option that quantifies before acting.

Example 5. Scoring suppliers

Weighted scorecard with a compliance gate

Weights: quality 30%, cost 25%, delivery 20%, compliance 15%, financial and risk 10%. Scores out of 5.

SUPPLIER	Q	COST	DELIV.	COMP.	FIN.	SCORE
A	4	5	3	3	3	3.80
B	5	3	4	5	4	4.20
C	3	4	5	2	3	3.50

Answer. B leads. C fails the compliance gate (below 3) and is out whatever its total. Use A as the second source and set a development plan for its delivery and compliance scores.

Example 6. Tiered annual rebate

When a bigger commitment pays and when it does not

Unit price $45. Rebate on all units: 3% at 30,000 or more, 5% at 40,000 or more. Forecast 34,000 units.

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At 34,000: rebate = 3% × $1,530,000 = $45,900 At 40,000: rebate = 5% ×
$1,800,000 = $90,000 (+$44,100) Extra 6,000 units cost $270,000 and are held
about 6 months on average at 20%: holding = 6,000 × $45 × 20% × 0.5 = $27,000
Net gain = $17,100
```

Answer. The higher tier pays only if the extra units will really sell. Ask for a rebate that is paid per quarter, a ramp-up tier, no take-or-pay penalty, and the right to move volume across SKUs. Without those, stay at the lower tier.

5 MULTIPLE-CHOICE TACTICS

Patterns that are usually right

- Total cost or landed cost over unit price.
- Verify, quantify, then act.
- Dual-source or qualify a backup for critical items.

Patterns that are usually wrong

- "Choose the cheapest supplier."
- "Skip the audit to save time."
- "Share the full roadmap to build trust."
- Paying 100% in advance to a new supplier.

- Written contract, NDA and compliance checks before sharing data.
- Cross-functional alignment before changing specs.
- Escalate with data and options, not just a problem.

- Ignoring duties, fees or lead time in the comparison.
- Using a public AI tool with confidential data.

How to run the clock

- Read the question stem first, then the numbers, then the options.
- Do the arithmetic on paper before looking at the options, then match.
- If stuck after about 90 seconds, use the hint (partial credit) and move on.
- Written answers cannot be edited. Use: situation, action with numbers, result, risk and next step.

6 FORMULA AND CONTAINER SHEET

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Landed cost = FOB + freight + insurance + duty + fees + port, brokerage, haulage Duty = rate × customs value (transaction value; excludes international freight and insurance) Safety stock = z × σ(daily) × √lead time Reorder point = demand × lead time + safety stock EOQ = √(2 × annual demand × order cost ÷ holding cost per unit) Days of cover = stock ÷ average daily usage Carrying cost = unit cost × cost of capital × extra days ÷ 365 Contribution margin = price − variable costs (product, freight, returns, payment fees)
```

CONTAINER	APPROX. VOLUME	NOTE
20-foot standard	about 33 m³	Heavy items such as coils and chemicals
40-foot standard	about 67 m³	
40-foot high cube	about 76 m³	Compressed mattresses; practical fill is lower than nominal

SOURCES

- Adaface candidate FAQ
- Puffy careers, procurement roles

- Miller Nash, tariffs in flux (IEEPA, Section 122, Section 232)
- WilmerHale, Supreme Court strikes down IEEPA tariffs
- US tariff rates, HTS Chapter 94 (secondary source; confirm at the official HTS)
- Antidumping orders on mattresses
- US mattress regulations overview
- Puffy, made in the USA